

US equities slip as yields rise, energy drags

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

The S&P 500 fell **-0.45%** to 7,551.81, while the Dow Jones dropped **-1.21%** to 51,461.90. The market was weighed down by higher 10-year yields and a sharp pull-back in energy.

Energy ETF **XLE** slid **-2.88%** as WTI slipped below 101.76. Defensive sectors showed modest resilience, but volatility rose, with the VIX up **+2.97%** to 17.71.

US session recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,551.81	-0.45%	
Dow Jones	51,461.90	-1.21%	
Nasdaq 100	28,945.06	+0.02%	
Russell 2000	2,858.81	-0.40%	
VIX	17.71	+2.97%	
10-yr Yield	5.01%	+0.20%	
WTI Crude	101.76	-0.65%	

Top large-cap movers

TICKER	PRICE	CHANGE
NVDA	213.90	+0.82%
AAPL	332.41	+0.32%
MSFT	490.30	-1.37%
GS	937.98	-3.96%

Spotlight

Goldman Sachs reported Q3 earnings, beating consensus on both top-line and EPS.

METRIC	VALUE
Revenue	57.2 bn (+5.1%)
EPS	12.45 (+8.3%)
Net profit margin	23.4%

The bank's investment-banking division drove the beat, while higher interest-rate income offset a modest rise in credit-loss provisions.

Macro & Fed

- Policy rate: 5.25%–5.50% (unchanged)
- 10-yr Treasury yield at 5.01%, up +0.20%
- Data releases (HKT): CPI 02:30, Retail sales 04:00, Existing-home sales 05:30

Geopolitics & global

- Middle-East tensions ease after cease-fire talks, reducing oil-supply risk.
- China's manufacturing PMI posted 49.8, indicating continued contraction.
- Eurozone inflation held at 2.3%, supporting ECB's dovish stance.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
09:30	AMZN	Revenue growth vs guidance, AWS margin
10:00	TSLA	Q3 deliveries, Model Y pricing impact
10:30	JPM	Net interest income trend, credit loss provisions
11:00	META	Ad revenue rebound, AI product rollout

Stocks worth watching

- **XOM** – Energy rebound potential if WTI stabilises above 105.
- **CRM** – Strong SaaS renewal rates; upside on FY guidance.
- **BAC** – Benefiting from higher rates; watch loan-growth data.
- **NVDA** – AI chip demand remains robust despite modest price moves.
- **KO** – Defensive consumer staple; dividend yield at 3.2%.

What could break the tape

BEARISH TRIGGERS

- 10-yr yield breaches 5.20% and sustains.
- Energy ETF **XLE** slides below 60.
- Unexpected downgrade of **GS** after earnings.

BEARISH TRIGGERS

- VIX spikes above 22, indicating risk aversion.
- Weak CPI surprise pushes Fed to consider further tightening.
- China PMI falls below 48, prompting broader risk-off.

Sources

SOURCES

Reuters — US Markets

Bloomberg — 10-yr Treasury Yield

SEC — Goldman Sachs 10-Q

CNBC — Energy Prices

Trading Economics — US CPI